Profit Leak Analysis

Key findings

- **Revenue declined**: Revenue fell by 1.77% in 2025, mainly because fewer orders and units were sold.
- **Profit declined faster**: Contribution profit fell by 2.54%, from $1.52M to $1.48M.
- **Returns are eating into value**: Return-related costs increased by approximately $7.5K despite lower revenue.
- **Discounts weaken margins**: Higher discount levels are associated with lower product margins.
- **Late deliveries need attention**: 39.13% of shipments were marked late.
- **Repeat customers are valuable**: Prioritize retaining customers who purchase repeatedly and generate more contribution

Business actions

1. **Recover sales volume**: Improve conversion and focus on products with strong sales and healthy margins.
2. **Reduce avoidable returns**: Investigate high-return products, especially in Apparel. Improve sizing, descriptions and product images.
3. **Control discounting**: Use deeper discounts only when the additional sales justify the lower margin.
4. **Retain valuable customers**: Encourage repeat purchases through relevant offers and retention campaigns.
5. **Improve delivery reliability**: Investigate late shipments by warehouse and shipping method.
6. **Measure marketing carefully**: Compare channel spend and attributed ROAS, but don't assume attributed revenue was caused by the campaign.

Overall strategy: Recover profitable sales, reduce return costs, protect margins and grow customer value.

Final Business Conclusion:

The business is not losing profit because product margins have collapsed. The bigger problem is **lower sales volume combined with rising return-related costs**. In 2025, revenue fell **1.77%**, while contribution profit fell faster at **2.54%**. Orders and units also declined, while return-related costs increased despite lower revenue. At the same time, deeper discounts are associated with weaker margins. So the business should not simply chase more sales — it needs to **recover profitable sales, reduce avoidable returns, control discounting, and focus growth on customers who create more value.**

Evidence behind the conclusion

Evidence	2024	2025	What it tells us
Revenue	$4.035M	$3.964M	↓ **1.77%**
Completed orders	36,591	36,181	↓ **1.12%**
Units sold	90,576	88,916	↓ **1.83%**
AOV	$110.27	$109.55	↓ **0.66%**
Product margin %	50.82%	50.89%	Essentially stable
Return-related cost	$387.4K	$394.9K	↑ **1.94%**
Contribution profit	$1.520M	$1.482M	↓ **2.54%**

The important point is that **product margin percentage did not deteriorate significantly**. The business sold fewer orders/units, which reduced total product margin by about **$33.6K**.

Then return-related costs increased by about **$7.5K**, further reducing profit.

Outbound shipping actually fell by about **$2.5K**, partially offsetting the decline.

So the contribution-profit change is approximately:

-$33.6K lower product margin
-$7.5K higher return costs
+$2.5K lower outbound shipping cost
= -$38.5K contribution profit